

MISSION REBUILD™

Module 03: Financial Stability and Leverage

*From Army to Civilian: Building Structure, Purpose,
Identity & Financial Stability After Service*

Module 03: Financial Stability and Leverage

MISSION REBUILD™ | 12-Week Veteran Transition Course

Module Duration: ~5 hours total (lessons + exercises + reflection)

Prerequisites: Module 01 — Identity After Service | Module 02 — Discipline Without the Military

Module Overview

Most veterans leave the military with no financial system. That's not an insult — it's a structural reality. The military handles so much of your financial life that you never had to build one. Housing? Covered. Food? At least partially covered. Health insurance? Covered. Dental? Covered. Half your compensation was tax-free BAH and BAS, which meant your actual taxable income looked nothing like what you were actually making. You had guaranteed paychecks regardless of performance or economic conditions. You had a pension system that most people in the country would kill for, if you stayed long enough to get it.

Then you separated. And suddenly all of that is gone, or complicated, or your responsibility to navigate, and nobody gave you a briefing on how any of it works in the civilian world.

And here's where it gets dangerous: some of you separated with a significant amount of money — terminal leave, separation pay, the GI Bill housing allowance — and spent it without a system, because a system had never been necessary before. Some of you have VA disability compensation coming in and don't know how to integrate it with everything else. Some of you have student loan debt, car debt, credit card debt, and no idea what order to attack any of it. Some of you are just grinding through the transition hoping things stabilize financially before they blow up.

This module is about ending the hope-and-pray financial strategy and replacing it with a system.

We're going to cover the financial reality check — what most veterans' finances actually look like and why — then move through building a real financial foundation (budget, debt, cash flow, emergency fund), then dig into VA benefits as financial leverage because most veterans are leaving money on the table, then get specific about house hacking as a strategy to reduce or eliminate your housing expense using the VA loan, and finish with the long game: building multiple income streams, investing, and an ownership mindset.

The goal of this module is not for you to feel better about money. It's for you to build a working financial system and start making money work for you instead of just flowing through you.

Fair warning: we're going to use real numbers. Not hypothetical, sanitized, textbook numbers — real numbers, because vagueness is how people avoid action.

Learning Objectives

By the end of this module, you will be able to:

1. **Build and operate a zero-based monthly budget** that accounts for your actual income — including VA disability compensation, GI Bill BAH, and other veteran-specific income streams — and tracks every dollar with a clear purpose.
 2. **Calculate and execute a debt elimination plan** using either the debt snowball or debt avalanche method, and build a funded emergency reserve that creates financial stability before you pursue growth.
 3. **Quantify your specific VA benefits** — disability compensation, GI Bill BAH, and VA home loan entitlement — and explain exactly how to use each as a financial leverage tool during transition.
 4. **Evaluate a house hacking opportunity** using the VA home loan, running the numbers on rental income, housing cost elimination, and equity building to determine whether it makes sense for your situation.
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Lesson 1: The Financial Reality Check

What Most Veterans' Finances Actually Look Like

Let me describe a composite picture, and I want you to be honest with yourself about how closely it resembles yours.

You were making decent money in the military — maybe \$40,000 to \$70,000 in total compensation as an E-5 or E-6 with a few years in, between base pay, BAH, BAS, and any special pay. Your effective purchasing power was higher than your taxable income showed because of the non-taxable allowances. Healthcare was free. You had a stable paycheck. Life, in a narrow financial sense, was predictable.

But you didn't build a financial system because you didn't need one. The military system handled the basics. What you earned beyond your necessities probably went to: a car payment (possibly too much car — the AAFES loan trap catches a lot of junior enlisted soldiers), eating out frequently, entertainment, consumer purchases, maybe some trips during leave. You weren't building wealth. You were living on a relatively comfortable conveyor belt.

Then: separation. The conveyor belt stops.

Now your income has changed — maybe you're on the GI Bill and getting BAH but no longer drawing a military salary, maybe you're working a lower-paying entry-level job while you rebuild your credentials, maybe you have VA disability compensation but no idea how to budget around a non-work income stream. Your expenses probably went up because you're now responsible for healthcare costs, or you're living off post for the first time and underestimated the actual cost of civilian housing, utilities, and groceries without the military system absorbing some of it.

And you're still probably not building a financial system. You're still hoping it works out.

Why Veterans Specifically Struggle with Personal Finance

Reason 1: Financial education was never part of the military's core mission.

The military trains people for combat readiness. Financial literacy is, at best, a peripheral concern addressed inadequately in TAP classes and financial readiness programs that most service members sit through without retaining anything because they don't see the immediate relevance. Nobody's career advancement depends on their personal financial skills. So most people don't develop them.

Reason 2: The military partially insulates you from financial consequences.

When your housing, healthcare, and food are handled, you can make poor financial decisions with discretionary income and still be stable. That's not available in the civilian world. The safety net is gone.

Reason 3: Transition is expensive and confusing.

PCS moves, separating from the military, establishing yourself in a new city, replacing equipment and supplies that were issued to you — these all cost money at a moment when income may be reduced or disrupted. Many veterans end up spending down savings during transition without realizing how fast it's going.

Reason 4: VA benefits are navigated poorly or not at all.

The VA benefits system is complex, bureaucratic, and not designed for easy self-navigation. Many veterans have disability compensation they haven't claimed, GI Bill benefits they're not optimizing, and VA loan entitlement they don't understand. These are real dollars left on the table.

Reason 5: The consumer debt machine hits harder when you're out.

Car dealerships around military installations have predatory lending practices for a reason — young service members with stable income and no financial education are a perfect target. Many veterans separate with car debt at unfavorable interest rates, credit card debt, and personal loan debt that creates a real monthly cash flow problem.

The Financial Reality Reckoning

Before you can build a financial system, you have to know what you're working with. Most people don't actually know. They have a vague sense — things are "tight" or "okay" or "pretty bad" — but they haven't looked at the actual numbers.

The first step is to look at the actual numbers. This is uncomfortable. Do it anyway.

You need to know:

1. **Exactly how much money is coming in each month** — every source: base pay or salary, BAH, BAS, VA disability comp, GI Bill BAH, side income, rental income, child support, anything.
2. **Exactly what you owe** — every debt: balance, interest rate, minimum payment, due date.
3. **Exactly what you're spending** — every category: housing, transportation, food, subscriptions, insurance, debt service, everything.
4. **Your net worth** — assets minus liabilities. This is your financial score. Most people don't know their score.

Getting clear on these four numbers is the financial reality check. The assignment at the end of this module will walk you through building it. The worksheet will give you the framework. But the work is yours to do.

Lesson 2: Building Your Financial Foundation

The Order of Operations

Building financial stability requires doing things in the right order. It's like a combat operation — you don't call in air support before you've established your defensive perimeter. There's a sequence, and skipping steps creates problems downstream.

Here is the sequence:

Step 1: Stop the bleeding (stop accumulating new consumer debt)

Before you do anything else, stop making the hole deeper. If you're adding to your credit card balance every month, fixing everything else is nearly impossible because you're fighting a rearguard action. No new consumer debt until the system is built.

Step 2: Build a starter emergency fund (\$1,000)

This is your minimum buffer — a financial shock absorber for small emergencies (car repair, medical copay, unexpected expense) so you don't have to put it on a credit card and dig the hole deeper. \$1,000 is

the floor. Get this done first.

Step 3: Build your budget and track every dollar

Now you build the actual system. This is the center of gravity of your financial foundation.

Step 4: Eliminate consumer debt

Once you have a working budget and a starter emergency fund, attack the debt.

Step 5: Build a full emergency fund (3-6 months of expenses)

Once consumer debt is gone, build the real cushion.

Step 6: Invest and build

Now you're building wealth instead of servicing debt.

Most people in financial trouble are trying to do Step 6 before they've done Step 3. That's why it doesn't work.

Building Your Budget: Zero-Based Budgeting

Zero-based budgeting (ZBB) means every dollar of income is assigned a purpose before the month starts. Income minus all assigned purposes equals zero. Not because you have zero money left — because every dollar has a job. Some of those jobs are saving and investing. But nothing is unassigned.

This is the most effective budgeting method for veterans in transition for a specific reason: it forces you to make intentional decisions about every dollar rather than spending by default and wondering where it went. It eliminates drift from your finances.

How to build a zero-based monthly budget:

Step 1: Calculate your total monthly income.

Include every source. Be conservative — use the minimum you're confident you'll receive, not the best case.

Example — E-6 separating with 60% VA disability rating, using GI Bill, working part-time:

- GI Bill BAH (full-time student, E-5 with dependents rate, varies by zip code): ~\$1,900/month (varies significantly by location — check your actual rate at va.gov)
- VA Disability at 60%: ~\$1,319/month (2024 rate, no dependents)
- Part-time work (20 hrs/week at \$18/hr): ~\$1,440/month gross, ~\$1,250 net
- **Total estimated monthly income: ~\$4,469**

Step 2: List every expense category.

Start with fixed expenses (same amount every month), then variable (change month to month), then periodic (annual or quarterly, divided by 12).

Fixed expenses:

- Rent/mortgage
- Car payment
- Insurance (auto, renters, health if applicable)
- Phone
- Internet
- Subscriptions (be specific — list them all)

Variable expenses:

- Groceries
- Gas/transportation
- Utilities (if variable)
- Dining out / entertainment
- Clothing
- Personal care
- Household supplies

Debt minimums:

- Credit card minimums
- Student loans
- Any other debt minimum payments

Savings goals (treat these like expenses):

- Emergency fund contribution
- Investing contribution
- Sinking funds (car maintenance, travel, annual expenses)

Step 3: Assign every dollar.

Total your expenses. If income minus expenses = positive number, you have unassigned money — assign it to debt payoff, savings, or investing before the month starts. If income minus expenses = negative number, you have a problem — cut categories until it balances.

Real Budget Example — Marcus, E-6 Veteran, Single, Using GI Bill:

Monthly income: \$4,469

| Category | Amount |

|---|---|

| Rent (1BR apartment) | \$1,100 |

| Groceries | \$350 |

| Car payment | \$380 |

| Car insurance | \$110 |

| Gas | \$80 |

| Phone | \$45 |

| Internet | \$55 |

| Utilities | \$90 |

| Subscriptions (Netflix, Spotify, gym) | \$55 |

| Dining out | \$100 |

| Clothing/personal | \$50 |

| Household supplies | \$40 |

| Health (copays, meds) | \$30 |

| Credit card minimum | \$65 |

| Emergency fund | \$300 |

| Debt extra payment | \$500 |

| Investing | \$100 |

| Misc/buffer | \$69 |

| **Total** | **\$4,469** |

Every dollar has a job. Notice: the extra debt payment (\$500) above the minimum (\$65) is aggressive but realistic on this income. The investing contribution is small — that's correct for this stage. Debt first, then build the investing.

Debt Elimination: Snowball vs. Avalanche

You have two battle-tested methods for eliminating consumer debt. Choose one and execute it completely rather than debating which is theoretically superior.

The Debt Snowball:

List debts from smallest balance to largest balance, regardless of interest rate. Pay minimum on everything. Throw every extra dollar at the smallest debt. When it's paid off, roll that payment to the next smallest. The psychological wins of paying off accounts one by one keep momentum going.

The Debt Avalanche:

List debts from highest interest rate to lowest interest rate, regardless of balance. Pay minimum on everything. Throw every extra dollar at the highest interest rate debt. This method saves the most money in interest over time.

Which should veterans in transition use?

If your debt situation is psychologically overwhelming and you need momentum and wins to stay motivated — snowball. If you're disciplined, your highest-interest debt is also reasonably sized, and you want to minimize total interest paid — avalanche. For most people reading this, snowball. The math difference is usually modest. The behavioral difference is significant.

Example: Debt snowball in action:

Debt	Balance	Interest Rate	Minimum
Medical bill	\$400	0%	\$0
Credit card 1	\$1,200	22%	\$36
Personal loan	\$3,500	14%	\$95
Credit card 2	\$4,800	19%	\$120
Car loan	\$9,200	6.5%	\$280

With \$500/month extra to throw at debt:

- Month 1-2: Knock out the \$400 medical bill. Now roll that \$500 to credit card 1 (which was getting minimums only).
- Month 3-4: Attack credit card 1 with \$500. Credit card 1 is gone in ~4 months total.
- Next: Roll everything to the personal loan. Now you're hitting it with \$500 + \$36 (freed CC1 minimum) = \$536 extra beyond the minimum.
- The snowball accelerates as each account is eliminated and payments compound.

On this example, total debt (excluding the car) is about \$10,000 including the car you can manage. With aggressive, consistent extra payments, the consumer debt is gone in 18-24 months.

The Emergency Fund: Non-Negotiable

Before you invest aggressively, before you put extra toward debt beyond the minimums (except the starter \$1,000), you need a funded emergency fund of 3 to 6 months of expenses.

Why this matters for veterans specifically: transition is unpredictable. GI Bill benefits can have delays. VA claims take time. Employment situations change. Having a cash buffer of 3-6 months of expenses (not income — expenses) means a disruption doesn't become a disaster. It means you don't have to touch a credit card. It means you have time to solve the problem rather than react in panic.

Where to keep it: a high-yield savings account, separate from your checking account, in a bank where it's slightly annoying to access (not because you can't — because the friction is useful). As of 2024-2025, high-yield savings accounts were offering 4-5% APY. Your emergency fund should be earning something while it sits there.

Target for most veterans in transition: 3 months minimum. 6 months if your income is variable or unpredictable.

Example target:

Monthly expenses: \$2,500 (rent, car, food, utilities, insurance, minimum debt payments)

3-month emergency fund: \$7,500

6-month emergency fund: \$15,000

Build toward the 3-month mark first. Then the 6-month mark. Don't wait until you have \$15,000 before you start investing — once you hit 3 months, open the investing account and start small while you finish building the full cushion.

Cash Flow Mapping

Cash flow is the lifeblood of your financial system. Understanding your cash flow — when money comes in, when it goes out, and the difference — is what separates people who feel like they're always broke from people who feel like they're in control.

Your monthly cash flow:

- Money in (income): all sources, exact amounts, exact dates
- Money out (expenses): all obligations, categorized, with due dates
- Net cash flow: money in minus money out

If net cash flow is positive, you have surplus to direct toward goals. If it's negative, you have a structural problem — expenses exceed income — and that problem has to be solved before anything else.

The two levers: income and expenses. You can raise income, lower expenses, or both. During transition, the fastest lever is often expenses — temporarily cutting variable costs to create breathing room while you

build the foundation. Long term, raising income is the better play. But you need both levers available to you.

Lesson 3: VA Benefits as Financial Leverage

Most Veterans Are Leaving Real Money on the Table

VA benefits are not charity. You earned them. They're compensation for service and service-related conditions. The problem is that the VA system is complex, the claims process is opaque, and a significant percentage of veterans either haven't filed at all or are rated significantly below what their actual conditions warrant.

This lesson is about understanding the specific financial value of each major benefit and using them as deliberate levers in your transition plan.

VA Disability Compensation

What it is: Monthly, tax-free compensation paid to veterans with service-connected disabilities, rated from 0% to 100% in 10% increments. Paid for life as long as the conditions remain (or worsen — you can increase a rating).

Why it matters financially: It's tax-free income, which means a \$1,000/month VA disability payment is worth more than \$1,000/month in taxable salary because you don't pay federal or state income tax on it. To generate an equivalent after-tax income from a job, at a 22% marginal tax rate, you'd need to earn about \$1,280/month gross.

2024 monthly rates (no dependents), approximate:

| Rating | Monthly (No Dependents) |

|---|---|

| 10% | \$171 |

| 20% | \$338 |

| 30% | \$524 |

| 40% | \$755 |

| 50% | \$1,075 |

| 60% | \$1,361 |

| 70% | \$1,716 |

| 80% | \$1,995 |

| 90% | \$2,241 |

| 100% | \$3,737 |

(Rates are adjusted annually. Check va.gov for current rates and rates with dependents, which are higher.)

At 100% P&T (Permanent and Total), additional benefits include:

- Chapter 35 DEA benefits for dependents
- State benefits (many states add significant benefits — property tax exemptions, free tuition, vehicle registration waivers)
- CHAMPVA healthcare for dependents (major financial value)
- Commissary and exchange access

The rating math matters:

A 60% disability rating is worth ~\$1,361/month tax-free for life. Over 20 years, that's \$326,640 in tax-free income — and the after-tax equivalent is higher. This is a real financial asset. Treating it as anything less is leaving your earned compensation on the table.

What to do if you haven't filed or are underrated:

1. Get your service records and medical records.
2. Document every service-connected condition — physical and mental. Every one. Don't self-filter because you think it's "not bad enough."
3. Work with an accredited VSO (Veterans Service Organization — the American Legion, DAV, VFW, or similar) at no cost, or with a VA-accredited attorney or claims agent (who are paid only if they win on appeal).
4. File. If you disagree with the decision, appeal. The appeals process is slow, but it works.

GI Bill Benefits: Chapter 33 Post-9/11

What it is: Education benefits for veterans who served on active duty after September 10, 2001. Covers tuition, housing allowance, and a book stipend.

The three financial components:

1. Tuition and fees: Paid directly to the school, up to the maximum in-state public school rate (or higher for some private schools under the Yellow Ribbon Program). At a public university as a state resident, this covers full tuition. At many private universities, Yellow Ribbon covers the gap.

2. Housing Allowance (BAH equivalent): This is the sleeper financial benefit that most veterans underestimate or misuse. While enrolled at least half-time, you receive a monthly housing allowance based on the BAH rate for an E-5 with dependents at the school's zip code. This is paid as a direct deposit and is tax-free.

Real numbers — GI Bill BAH examples (2024 approximate rates):

| City/Area | Approximate Monthly BAH |

|---|---|

| Rural/low-cost area | \$800 – \$1,100 |

| Mid-size city (Columbus OH, San Antonio TX) | \$1,200 – \$1,600 |

| Large city (Denver, Austin, Seattle) | \$1,800 – \$2,400 |

| High-cost city (NYC, DC, San Francisco) | \$2,500 – \$3,500+ |

This is real money. A veteran attending a mid-size state school on full GI Bill in a city with \$1,400/month BAH is receiving \$1,400/month, tax-free, while going to school. If they've designed their housing situation intelligently (see house hacking, Lesson 4), their actual housing cost might be \$0 to \$500/month, leaving a significant monthly surplus.

3. Book stipend: Up to \$1,000/year for books and supplies.

Strategic insight — the GI Bill BAH play:

The GI Bill BAH rate is based on the E-5 with dependents rate at the school's location. A veteran can attend a community college or state university in a high-BAH zip code and receive the full BAH for that area, regardless of whether their actual rent matches it. If you're strategic about where you live and study — or use house hacking — the BAH surplus can be substantial.

The 36-month limit: Most veterans have 36 months of GI Bill entitlement. This is 36 months of full-time enrollment — about four academic years. Use it wisely. Community college for prerequisites plus a state university for a bachelor's degree is often more financially advantageous than four years at an expensive private school, especially when the BAH rate is the same.

VA Home Loan Benefit

This is the most powerful wealth-building tool available to most veterans. Here is why:

What it allows: Purchase a primary residence with no down payment, no private mortgage insurance (PMI), and competitive interest rates, for loans up to the conforming loan limits (and sometimes above, with a smaller down payment).

What that means in dollars:

Conventional mortgage on a \$300,000 home:

- 20% down payment required to avoid PMI: \$60,000
- With less than 20% down, PMI: \$125-250/month (\$1,500-3,000/year) until 20% equity is reached

VA mortgage on the same \$300,000 home:

- \$0 down payment required
- \$0 PMI (ever)
- VA funding fee (one-time): 2.15% for first use with 0% down = \$6,450 (financed into the loan or paid upfront; waived entirely for veterans with 10%+ disability rating)
- Monthly payment depends on current interest rate, but you're financing \$300,000 (or \$306,450 with funding fee) vs. \$240,000 — higher payment, but you kept \$60,000 in cash

The funding fee is waived for veterans with a VA disability rating of 10% or higher. If you have a service-connected disability rating, you pay no funding fee. This is significant — it means a veteran with a 10% rating or higher can buy a primary residence with literally \$0 out of pocket (beyond closing costs, which can sometimes be negotiated into the loan).

Why the VA loan is the foundation of the house hacking strategy: The ability to buy a property with no down payment means a veteran with limited liquid capital can still make a real estate move. Combined with the house hacking strategy in Lesson 4, this is the fastest legal path for a veteran to eliminate their housing expense.

Lesson 4: House Hacking and Real Estate for Veterans

What House Hacking Is (and Why It Works for Veterans)

House hacking is the strategy of buying a small multi-unit property (duplex, triplex, fourplex) or a single-family home with extra rooms, living in one unit or one room, and renting out the others. The rental income from your tenants offsets your mortgage payment — ideally covering it entirely or nearly so.

The result: you live for free (or very cheaply) while building equity in a property that cash flows.

The VA home loan makes this strategy accessible to veterans without the typical barrier of a 20% down payment. And the rules allow it specifically: the VA loan requires owner-occupancy, meaning you must live in the property as your primary residence — which is exactly what house hacking does.

The House Hacking Math: A Real Example

Scenario: Marcus, Army veteran, 70% VA disability rating, enrolled in a state university in Columbus, Ohio (GI Bill BAH ~\$1,450/month as of 2024). He has \$8,000 in savings and a credit score of 690.

Property: Duplex in Columbus — \$285,000 purchase price.

- Unit A: Marcus lives here
- Unit B: 2BR unit, market rent \$1,050/month

VA Loan math:

- Down payment: \$0 (VA loan, no down payment)
- Funding fee: \$0 (waived — 70% disability rating)
- Loan amount: \$285,000
- Interest rate (approximate, varies): 6.5% (check current rates)
- Monthly PITI (principal, interest, taxes, insurance): approximately \$2,100/month at 6.5%

Income side:

- Unit B rent: \$1,050/month
- GI Bill BAH: \$1,450/month
- **Total incoming:** \$2,500/month (rent + BAH)

Net housing cost: \$2,100 (PITI) – \$1,050 (rent from Unit B) = **\$1,050/month out of pocket**

But GI Bill BAH is \$1,450/month.

So actual net: \$1,450 BAH – \$1,050 net mortgage = **\$400/month surplus**.

Marcus is living for free. He's paying no housing cost. He's actually profiting \$400/month. He's building equity in a \$285,000 property. He's doing this while going to school on the GI Bill.

In four years, when he's done with school:

- Assuming 3-4% annual appreciation, the property is worth \$320,000-\$330,000
- He's paid down the principal by \$12,000-15,000
- His equity is \$40,000-\$60,000
- His rental unit has tracked rent increases

He now has options: rent both units (the place becomes an investment property), sell and capture equity, do a cash-out refinance, or continue house hacking version 2.0 in a new property.

The 1-4 Unit Strategy (VA Loan Eligible Properties)

The VA loan can be used to purchase a property with up to 4 residential units, as long as you live in one of them as your primary residence. This is critical because the more units, the more rental income.

The math gets more powerful with more units:

Fourplex example — \$420,000 purchase price in a mid-size market:

- Unit A: Marcus lives here
- Units B, C, D: Three 2BR units at \$900/month each = \$2,700/month rental income
- VA loan PITI at 6.5%: approximately \$3,100/month
- Net housing cost: $\$3,100 - \$2,700 = \$400/\text{month out of pocket}$
- With GI Bill BAH (\$1,450): $\$1,450 - \$400 = \$1,050/\text{month net positive}$

Marcus is cash flow positive living for free in a fourplex he bought with no down payment, while the three other units cover nearly his entire mortgage.

Finding these properties: They exist in most markets, though the price point and cash flow math varies significantly by location. Markets with lower property prices relative to rents (many midwestern and southern cities) work better than high-cost-of-living markets where purchase prices have outpaced rent. Do the math for your specific market.

Key Rules for VA Loan House Hacking

1. **You must intend to occupy the property as your primary residence.** This is a condition of VA lending. You can't buy a rental property you never plan to live in. You live in it first, then potentially convert it later.
2. **The VA appraiser will assess the property.** VA appraisals are strict about property condition — they require the property to meet minimum property requirements (MPR). Distressed properties may not qualify. This limits some deeper value-add opportunities but also protects you from major disasters.
3. **Multi-unit properties (2-4 units) must meet VA guidelines.** For 3-4 unit properties, the VA may count projected rental income to help you qualify, but requirements vary by lender. Work with a VA-experienced lender.
4. **Rental income from existing leases may help you qualify.** If you're buying a property that already has tenants, the existing lease income can sometimes count toward your qualifying income, making it easier to get approved even if your personal income is moderate.
5. **You can reuse your VA loan benefit.** After you've paid down a prior VA loan or sold the property, you can restore your entitlement and use the VA loan again for another primary residence. Some veterans build an entire portfolio of 1-4 unit properties, one VA loan move at a time.

What If You're Not Ready for House Hacking?

House hacking is not the right move if:

- Your credit score is below 620 (most VA lenders want 620+; 680+ gives better rates)

- You're moving to a new city and don't know the market yet
- Your financial situation is still in the "foundation building" stage with significant consumer debt
- You're not in a stable-enough place in your transition to take on landlord responsibilities

If house hacking is a 12-24 month goal, the steps right now are:

1. Work the financial foundation (Lesson 2) — build savings, kill debt, get the credit score up
 2. Research the target market — understand neighborhoods, property types, rent rates, price points
 3. Talk to a VA-experienced real estate agent and mortgage lender — understand your specific purchasing power
 4. Learn the landlord fundamentals — tenant screening, leases, basic maintenance, local landlord-tenant law
 5. Make the move when the conditions are right
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Lesson 5: Building Long-Term Wealth Systems

The Ownership Mindset

There's a fundamental shift that happens in financially successful veterans, and it doesn't happen automatically. It's the shift from an **employee mindset** (trading time for money, one income stream, dependent on an employer's decisions) to an **ownership mindset** (building assets that generate income and value independent of your direct labor).

This isn't about hating employment. A good job is a real asset — especially during transition, when stability matters and you're building capital. But a job is a means to an end, not the end itself. The end is financial independence: the point at which your passive income covers your expenses and work becomes a choice rather than a requirement.

For veterans, this shift is worth making intentional because the military created a very employee-oriented relationship with money. You showed up, you worked, they paid you. Excellent conditions for learning compliance. Not great conditions for developing ownership thinking.

The ownership mindset means: **every paycheck is raw material for assets, not just living expenses.** Some portion of every dollar you earn gets deployed toward building something — a piece of real estate, a business, an investment account, a skill set that raises your income. The percentage grows as your income grows and your expenses are managed.

Investing: The Foundation First

Let me be clear about the sequence: **investing aggressively while carrying high-interest consumer debt is a losing strategy.** If you have credit card debt at 19-22% interest and you're putting money in a stock market ETF that might return 7-10% annually, you're mathematically behind. Pay the expensive debt first.

But once the consumer debt is gone and the emergency fund is funded, investing becomes the primary lever for long-term wealth.

The basics that actually matter:

Tax-advantaged accounts first. The IRS offers shelters — use them.

- **Roth IRA:** Contribute after-tax dollars; growth and withdrawals are tax-free in retirement. 2024 contribution limit: \$7,000 (\$8,000 if 50+). Income limits apply at high incomes. For most veterans in transition, the Roth IRA is the first investing account to open and fund.
- **Traditional IRA:** Contribute pre-tax dollars; taxable on withdrawal. Useful if you're in a higher tax bracket now than you expect to be in retirement.
- **TSP (if still contributing) or employer 401k:** If your employer offers a match, contribute at least enough to capture the full match. A 50% match on the first 6% of salary is a 50% guaranteed return on that money before the market does anything.

Index funds over individual stock picking. For most people — including most veterans — trying to pick individual stocks is a losing game against the market. Low-cost index funds (Vanguard, Fidelity, Schwab — look for expense ratios under 0.10%) that track the S&P 500 or total stock market outperform the majority of actively managed funds over 10+ year periods. Set it, automate it, don't watch it daily.

The power of time and compound interest:

If you invest \$500/month starting at age 25 in an index fund averaging 8% annual return:

- At age 45: approximately \$294,000
- At age 55: approximately \$684,000
- At age 65: approximately \$1,457,000

If you wait until age 35 to start the same \$500/month:

- At age 65: approximately \$679,000 — less than half

Starting 10 years earlier roughly doubles the outcome. Every year of delay costs more than the previous year. **Start now, even if the amount is small.** \$100/month invested consistently beats \$500/month started five years later.

Multiple Income Streams: The Veterans' Path

Military service gives veterans real skills — leadership, logistics, systems thinking, technical specialties, clearances — that have market value in multiple civilian contexts simultaneously. Building multiple income streams leverages those skills across more than one paycheck.

The income stream ladder for veterans in transition:

Level 1 (Immediate): Stabilize your primary income

Job, GI Bill BAH, VA disability compensation. Get this stable and budgeted. Don't chase Level 3 while Level 1 is on fire.

Level 2 (6-18 months): Build a skill-based side income

Something you can do in 5-15 hours per week that generates \$500-\$1,500/month of additional income while you're in school or building your career. Examples:

- Resume writing and LinkedIn optimization for other veterans (\$200-400/package, 5 clients/month)
- Physical security consulting or contract security shifts (\$25-45/hour)
- Veteran-specific tutoring or mentoring (GRE prep, military transition coaching)
- Technical certifications and freelance IT/cybersecurity work
- Real estate acquisition or property management (ties into the house hacking play)

Level 3 (2-5 years): Asset-based income

Income generated by assets you own, not just time you sell:

- Rental income from real estate (house hacking scales to additional properties)
- Dividend income from investment portfolio
- Business revenue from something you've built
- Licensing or digital products

Level 4 (5+ years): Financial independence threshold

When passive income (Level 3 streams) covers your baseline expenses, work becomes genuinely optional. This is the long game. It's achievable for veterans who build the financial system in their 20s and 30s and execute consistently.

The VA Disability Comp + GI Bill + House Hacking Wealth Stack

For veterans who are eligible and execute this stack simultaneously during school, the financial picture looks remarkably strong:

Example — Four-year scenario:

Marcus, 70% VA disability rating, attending a state university on full GI Bill in Columbus, Ohio, owns a duplex:

Monthly income stack:

- GI Bill BAH: \$1,450 (tax-free)
- VA disability (70%): \$1,716 (tax-free)
- Rental income (Unit B): \$1,050
- Part-time income (20 hrs/week): \$1,250 (net)
- **Total: \$5,466/month**

Monthly expenses:

- Mortgage PITI: \$2,100
- Rental income offset: -\$1,050
- Net housing cost: \$1,050
- Car payment + insurance: \$490
- Food, utilities, phone, subscriptions: \$600
- Investing (Roth IRA + small index fund): \$500
- Debt extra payments: \$300
- Buffer/misc: \$526
- **Total: \$5,466**

After four years of school, Marcus:

- Has his degree, zero tuition debt
- Has \$24,000+ invested (not counting returns)
- Has substantial equity in the duplex
- Has consumer debt eliminated
- Has a functional financial system
- Has zero housing cost history — that expense has been covered for four years
- Has developed landlord and property management skills
- Is entering the job market with real assets, not just credentials

That's a foundation. That's the stack working.

Your Net Worth Scoreboard

Net worth = Assets – Liabilities. This is your score. Track it quarterly, at minimum.

Assets:

- Cash and savings accounts
- Investment accounts (brokerage, IRA, TSP/401k at current value)
- Real estate (estimated current market value, not purchase price)
- Vehicle value (use KBB/NADA — it's usually less than you think)
- Business equity (if applicable)
- Other assets

Liabilities:

- Mortgage balance
- Car loan balance
- Student loan balance
- Credit card balances
- Personal loan balances
- Any other debt

Net worth = sum of assets – sum of liabilities

Many veterans start with a negative net worth (more debt than assets). That's normal and not a crisis — it's a starting point. The goal is to move the number consistently in the right direction. Paying down debt increases net worth. Investing increases net worth. Buying appreciating assets increases net worth.

Track it quarterly. Watch the number move.

Practical Exercises

Exercise 1: Complete Your Financial Reality Check (2-3 hours)

This is the foundational exercise for this module. Do not skip it, shortcut it, or estimate your way through it. Get the actual numbers.

Part A — Income inventory:

List every source of monthly income, the exact amount, and the date it hits your account. If amounts vary, use the 3-month average.

Part B — Debt inventory:

Pull every single debt. For each one, write down: creditor name, current balance, interest rate, minimum monthly payment, due date. If you don't know the interest rate, look it up — log into the account or call the

creditor.

Part C — Expense audit:

Log into your bank account and look at the last 90 days of transactions. Categorize every expense. Add them up by category. You're going to find stuff you forgot about. That's the point.

Part D — Net worth calculation:

Assets – Liabilities = Net Worth. Write the number down. Date it. This is your starting line.

Exercise 2: Build Your Zero-Based Monthly Budget (1-2 hours)

Using the income and expense data from Exercise 1, build your actual zero-based budget for next month. Use the worksheet template at the end of this module.

Every dollar gets a job. Income minus all assignments = \$0.

If you have more expenses than income, identify which expenses you can cut or reduce immediately. If you have surplus, assign it to your highest-priority financial goal (starter emergency fund, debt, or full emergency fund).

Exercise 3: Calculate Your VA Benefits Value (1 hour)

Even if you're already receiving VA benefits, run the full calculation.

1. What is your current disability rating? What is your monthly compensation? (Look up the current rate at va.gov — rates are updated annually)
2. If you haven't filed: what conditions do you have that are potentially service-connected? Write them all down. Make an appointment with a VSO.
3. If you're planning to use the GI Bill: look up the BAH rate for the location where you'll be enrolled (the school's zip code). Calculate the monthly BAH you'd receive. Multiply by 36 to see the total housing allowance value of your remaining entitlement.
4. Have you checked your VA home loan entitlement? Contact a VA-experienced mortgage lender to get a Certificate of Eligibility and understand your purchasing power.

Exercise 4: Run the House Hacking Numbers for Your Market (1-2 hours)

Research the real estate market in the city you're in or planning to move to.

1. Search Zillow, Realtor.com, or a local MLS for duplexes, triplexes, or fourplexes in your target area. What's the price range?

2. Research rental rates for comparable units in the same area (Zillow rental listings, Rentometer.com).
3. Run the PITI calculation for one sample property: use a mortgage calculator with a 0% down VA loan at current interest rates, add in estimated property taxes (usually listed on the listing) and insurance (~0.5-1% of value annually).
4. Does the rental income from the non-owner-occupied units cover 75% or more of the PITI? (100%+ is ideal.) Does the math work in your market?

Bring your analysis to a discussion or accountability partner conversation.

Reflection Prompts

Write these answers out. Don't think about them in the shower — write them.

1. **What is your current relationship with money?** Be honest: are you a tracker, an avoider, an optimist who figures it'll work out? Where did that relationship come from, and is it serving you?
2. **What does your military service mean financially?** Not in an emotional sense — in a tactical sense. What VA benefits have you earned? What skills have you developed that have market value? What financial liabilities did you accumulate? What opportunities are available to you specifically because of your service?
3. **What is your honest net worth right now?** If you did Exercise 1, you have the number. Write it here. What's the gap between where you are and where you want to be in 5 years? What's the strategy to close that gap?
4. **Have you ever avoided looking at your finances — bank statements, credit card balances, debt totals — because the reality felt too uncomfortable?** What's the cost of that avoidance? What specifically would change if you looked?
5. **What does financial independence mean to you, in concrete terms?** Not "rich" — that's vague. What is the monthly income, from what sources, that would make work genuinely optional for you? What's the number? What's the timeline? What's the plan?
6. **What's the one financial behavior you know you need to change but haven't?** What's the real reason you haven't changed it? Not the excuse — the actual reason.

Discussion Prompts

1. **Many veterans feel guilt or hesitation about claiming full VA disability benefits** — they think they're "not that bad" or someone else needs it more. What's your experience with that? How do you reconcile the emotional complexity of VA claims with the financial and legal reality that these are

earned benefits you're entitled to?

2. **Share the biggest financial mistake you made before or during transition** — and what you learned from it. What would you tell a veteran separating tomorrow to do differently?

3. **House hacking and real estate investing feel out of reach for a lot of veterans** — too complicated, not enough money, not sure where to start. What's the actual barrier for you? Is it information, capital, credit, fear, or something else? What's one concrete step you could take in the next 30 days to move closer to being ready?

4. **The idea of multiple income streams sounds good but feels overwhelming when you're already stretched thin in transition.** How do you prioritize income-building when you're also managing school, job hunting, family, and your own mental health? What does a realistic first move look like — not the ideal, the actual first step?

Quiz: Module 03 Knowledge Check

Instructions: Answer each question before checking the answers below.

Question 1: What are the four critical numbers every veteran must know to build a working financial system, and why does each matter?

Answer: (1) Total monthly income — every source, exact amounts; you can't build a budget without knowing what's coming in. (2) Total debt — every creditor, balance, interest rate, minimum payment; you can't build a payoff plan without this. (3) Total monthly spending — categorized actual spending, not estimated; most people underestimate their spending significantly. (4) Net worth (assets minus liabilities) — this is the financial scoreboard, the baseline from which all progress is measured.

Question 2: Explain zero-based budgeting and why it's particularly effective for veterans in transition.

Answer: Zero-based budgeting means every dollar of income is assigned a specific purpose before the month starts so that income minus all assignments equals zero. Nothing is unassigned. It's effective for veterans in transition because: (1) it forces deliberate, intentional decision-making about every dollar rather than spending by default; (2) it eliminates financial drift — the equivalent of the aimless civilian life drift covered in Module 2; (3) it works well for irregular income situations (VA comp + GI Bill + part-time work) because you're working from actual numbers rather than assumptions.

Question 3: What is the difference between the debt snowball and debt avalanche methods? In what situation would you recommend each?

Answer: Debt snowball: pay minimum on all debts, throw extra at the smallest balance first regardless of interest rate; when that's gone, roll the payment to the next smallest. Debt avalanche: pay minimum on all debts, throw extra at the highest interest rate first. Snowball is better when the psychological momentum of paying off accounts is needed to stay motivated — typical for people feeling overwhelmed. Avalanche saves more money in interest over time and is better for disciplined people with a large high-interest debt as the primary target.

Question 4: What is the VA disability funding fee waiver and who qualifies for it?

Answer: Veterans with a service-connected disability rating of 10% or higher are exempt from the VA loan funding fee entirely. The funding fee is typically 2.15% of the loan amount for a first-time VA loan use with 0% down (example: \$6,450 on a \$300,000 loan). Waiving it means a qualified veteran can purchase a home with literally \$0 out of pocket beyond closing costs — which can sometimes be negotiated into the loan — making the VA loan the most powerful zero-cost real estate entry tool available to civilians or veterans.

Question 5: Explain the three financial components of Post-9/11 GI Bill benefits and the specific financial value of the housing allowance.

Answer: (1) Tuition and fees — paid directly to the school, covering up to in-state public tuition or Yellow Ribbon amounts at private schools. (2) Monthly housing allowance (BAH equivalent) — tax-free monthly payment at the E-5 with dependents BAH rate for the school's zip code, paid while enrolled at least half-time; ranges from ~\$800 to \$3,500+/month depending on location. (3) Book/supply stipend — up to \$1,000/year. The housing allowance is the most significant financial component because it functions as tax-free income independent of work, and the surplus between the BAH rate and actual housing cost can be substantial, especially for veterans who house hack.

Question 6: Walk through the basic house hacking math for a veteran purchasing a duplex using a VA loan. What conditions make it financially worthwhile?

Answer: A veteran buys a duplex with \$0 down (VA loan). They live in one unit and rent the other. The rental income from the tenant offsets the mortgage (PITI) payment. If rent covers 50-100% of PITI, the veteran's housing cost is reduced dramatically or eliminated. Combined with GI Bill BAH, the veteran may have a positive cash flow from their housing situation. Conditions that make it worthwhile: (1) rental market rent rates that are high enough relative to property purchase prices to generate meaningful coverage of PITI; (2) VA loan eligibility and credit score sufficient for approval; (3) local market analysis confirming the math actually works; (4) veteran is stable enough in their transition to manage landlord responsibilities.

Question 7: What does the "order of operations" for building financial stability look like, and why does the sequence matter?

Answer: (1) Stop accumulating new consumer debt. (2) Build \$1,000 starter emergency fund. (3) Build and operate a zero-based budget. (4) Eliminate consumer debt (snowball or avalanche). (5) Build full 3-6 month emergency fund. (6) Invest and build. The sequence matters because each step creates the foundation for the next. Investing while carrying high-interest debt is mathematically counterproductive. Debt elimination without a budget means no system to sustain the payoff. Emergency fund without budget means you don't know if you can sustain contributions.

Question 8: What does "financial independence" mean in concrete, measurable terms, and how is it different from "being rich"?

Answer: Financial independence means that passive and semi-passive income from assets (rental income, investment dividends, business income) covers your monthly living expenses without requiring active labor. Work becomes optional, not required. "Rich" is vague and relative. Financial independence is specific and calculable: if monthly expenses are \$3,500 and passive income is \$3,500+, you're financially independent regardless of your net worth. Veterans can calculate their specific number and build a plan to reach it, rather than chasing a vague concept of wealth.

Question 9: Why is starting to invest early, even with small amounts, mathematically more important than waiting to invest larger amounts later?

Answer: Compound interest — returns generating returns on themselves — is exponential over time. A dollar invested at 25 at 8% annual return is worth ~\$21 at 65. A dollar invested at 35 is worth ~\$10. The 10-year delay cuts the outcome roughly in half. Starting with \$100/month at 25 and increasing as income grows dramatically outperforms starting with \$500/month at 35, even though the monthly amount is far lower. Every year of delay costs more than the previous year because you lose the compounding on all future returns, not just one year's returns.

Question 10: A veteran has a 60% disability rating, is using the GI Bill at a school with \$1,500/month BAH, and is house hacking a duplex with \$1,200/month rental income from the second unit. Their PITI is \$1,800/month. They also work part-time for \$1,100/month net. Calculate their approximate monthly income and net housing cost.

Answer:

Monthly income:

- VA disability (60%, approximate 2024 rate): \$1,361

- GI Bill BAH: \$1,500
- Rental income: \$1,200
- Part-time work: \$1,100
- **Total: \$5,161/month**

Net housing cost:

- PITI: \$1,800
- Minus rental income: -\$1,200
- Net mortgage cost: \$600
- GI Bill BAH received: \$1,500
- Net housing position: $\$1,500 - \$600 = \$900/\text{month surplus}$ — they are paid to live in their property.

Module Assignment: Financial Snapshot and 12-Month Cash Flow Plan

Time Required: 4-6 hours over multiple sessions

Format: Written financial document — digital or physical

Submission: Share with accountability partner or course community

What to Build

This assignment produces your complete financial picture and a 12-month forward-looking cash flow plan. This is not a school assignment to be completed and forgotten — it's a living document you'll update regularly.

Section 1: Current Financial Snapshot

Complete each of the following:

Income statement: Every source of monthly income, amount, date received. Total monthly income: \$_____

Debt register: Every debt — creditor, balance, interest rate, minimum payment, due date. Total debt: \$_____. Weighted average interest rate: _____%

Expense audit (actual, last 90 days): Every spending category, monthly average. Total monthly expenses: \$_____

Net worth statement:

- Total assets: \$_____
- Total liabilities: \$_____
- Net worth: \$_____
- Date of snapshot: _____

Financial health indicators:

- Emergency fund status: \$_____ / target of \$_____ (_____ months covered)
- Debt-to-income ratio: _____%
- Savings rate (% of income going to savings/investing): _____%
- Credit score (check via Credit Karma, Experian, or your bank): _____

Section 2: VA Benefits Inventory

- Disability rating: _____% | Monthly compensation: \$_____
- GI Bill eligibility: Chapter _____ | Months remaining: _____ | Current BAH rate if using: \$_____
- VA home loan: Entitlement remaining: _____ | Used before? Y/N
- Other VA benefits (vocational rehab, commissary, state benefits):

Section 3: Your Zero-Based Monthly Budget

Build a complete zero-based budget for next month. Use the worksheet template. Every dollar has a job. Balance is \$0.

Section 4: Debt Elimination Plan

List your consumer debts in payoff order (snowball or avalanche — choose and commit). For each debt, project the payoff date based on your current extra payment capacity. Total consumer debt elimination date: _____

Section 5: 12-Month Cash Flow Projection

Month by month, project your income and expenses for the next 12 months. Account for: changes in income (GI Bill starting or ending, expected salary changes), one-time expenses (car registration, annual subscriptions, estimated medical), and planned debt payoffs (when do minimum payments drop as debts are eliminated?).

By month 12, what is your projected:

- Monthly income: \$_____
- Monthly expenses: \$_____

- Monthly surplus: \$_____
- Net worth: \$_____
- Emergency fund balance: \$_____
- Consumer debt remaining: \$_____

Section 6: 5-Year Financial Vision

In 5 years, what does your financial life look like? Be specific:

- Income sources and amounts
- Net worth target
- Debt situation
- Real estate position
- Investment balance
- The one financial milestone that would change everything

Evaluation Criteria:

- Completeness: Every section with real numbers, not estimates or blanks
 - Honesty: Numbers from actual records, not memory or best-case scenarios
 - Specificity: Debt payoff dates, savings targets, specific goal numbers
 - Realism: Is the 12-month projection actually achievable based on current numbers?
-

Downloadable Worksheets

WORKSHEET A: Zero-Based Monthly Budget Template

Month: _____ Total Income This Month: \$_____

INCOME BREAKDOWN

Source	Amount	Date Received
---	---	---
Primary job / salary		
VA disability compensation		
GI Bill housing allowance		
GI Bill book stipend (monthly)		
Rental income		

Side income / freelance

Child support / alimony received

Other

TOTAL INCOME \$

EXPENSES — HOUSING

Item Budgeted Actual

--- --- ---

Rent / mortgage (PITI)

Renters / homeowners insurance (if not in PITI)

HOA fees

Electricity

Gas / heat

Water / sewer

Internet

Housing Subtotal \$ \$

EXPENSES — TRANSPORTATION

Item Budgeted Actual

--- --- ---

Car payment

Car insurance

Gas / fuel

Parking / tolls

Maintenance / repairs sinking fund

Public transit

Transportation Subtotal \$ \$
--

EXPENSES — FOOD

Item Budgeted Actual

--- --- ---

Groceries
Dining out
Coffee / specialty drinks
Food Subtotal \$ \$

EXPENSES — HEALTH

Item Budgeted Actual
--- --- ---
Health insurance premium
Prescriptions
Copays / out-of-pocket medical
Gym / fitness
Health Subtotal \$ \$

EXPENSES — DEBT PAYMENTS

Debt Minimum Extra Total
--- --- --- ---
Debt Subtotal \$ \$ \$

EXPENSES — SAVINGS AND INVESTING

Goal Amount
--- ---
Emergency fund (starter or full)
Roth IRA contribution
TSP / 401k (above employer match)
Sinking fund (car, travel, annual)
Other investing
Savings/Investing Subtotal \$

EXPENSES — PERSONAL

Item	Budgeted	Actual
Phone		
Subscriptions (list each)		
Clothing		
Personal care / hygiene		
Entertainment		
Gifts		
Education / books		
Miscellaneous buffer		
Personal Subtotal	\$	\$

BUDGET BALANCE

Total Income	\$
Total All Expenses	\$
Balance (must = \$0)	\$

If positive: assign the surplus to a goal above. If negative: identify what to cut.

WORKSHEET B: Net Worth Tracker

Date: _____

ASSETS

Asset	Current Value	Notes
Checking account		
Savings / emergency fund		
Roth IRA		

Traditional IRA / TSP / 401k
Brokerage account
Real estate — Market value (estimate conservatively)
Vehicle — Market value (KBB/NADA)
Business equity
Other assets
TOTAL ASSETS \$

LIABILITIES

Debt Balance Interest Rate Minimum Payment
--- --- --- ---
Mortgage
Home equity loan / HELOC
Auto loan 1
Auto loan 2
Student loans
Credit card 1
Credit card 2
Credit card 3
Personal loan
Medical debt
Other
TOTAL LIABILITIES \$

NET WORTH = TOTAL ASSETS – TOTAL LIABILITIES = \$_____

Track quarterly. Date every entry.

Quarter Net Worth Change Notes
--- --- --- ---
Q1 2025 Baseline
Q2 2025 +/- \$

| Q3 2025 | | +/- \$ | |

| Q4 2025 | | +/- \$ | |

WORKSHEET C: VA Benefits Calculator

Disability Compensation:

| Rating | Monthly (No Dependents) | Monthly (With Spouse) | Monthly (Spouse + 1 Child) |

|---|---|---|---|

| 10% | ~\$171 | ~\$191 | ~\$208 |

| 20% | ~\$338 | ~\$375 | ~\$401 |

| 30% | ~\$524 | ~\$588 | ~\$626 |

| 40% | ~\$755 | ~\$840 | ~\$889 |

| 50% | ~\$1,075 | ~\$1,183 | ~\$1,246 |

| 60% | ~\$1,361 | ~\$1,489 | ~\$1,562 |

| 70% | ~\$1,716 | ~\$1,863 | ~\$1,951 |

| 80% | ~\$1,995 | ~\$2,163 | ~\$2,262 |

| 90% | ~\$2,241 | ~\$2,431 | ~\$2,541 |

| 100% | ~\$3,737 | ~\$4,057 | ~\$4,183 |

(Rates are approximate 2024 figures. Check va.gov for current rates — they are updated annually.
Additional children add to monthly amounts.)

My disability rating: ____% | **My monthly compensation:** \$____ | **Annual value:** \$____

GI Bill Housing Allowance Estimator:

- School location / zip code: _____
- GI Bill BAH rate for this location: \$____ /month (look up at va.gov/education)
- Monthly housing expense: \$____ /month
- BAH surplus / deficit: \$____ /month
- Total months of entitlement remaining: ____ months
- Total remaining housing allowance value: \$____ (months × monthly BAH)

VA Home Loan:

- First-time use? Y / N

- Full entitlement remaining? Y / N
- Disability rating (10%+ = funding fee waiver): _____%
- Funding fee (if applicable): 2.15% first use, 3.3% subsequent use (0% if 10%+ rating)
- Estimated purchasing power in target market (talk to VA lender): \$_____

Total VA Benefits Annual Value:

| Benefit | Annual Value |

|---|---|

| Disability compensation | \$ |

| GI Bill BAH (remaining months ÷ 12 × monthly rate) | \$ |

| GI Bill tuition covered | \$ |

| VA loan funding fee saved | \$ |

| State VA benefits (property tax, tuition, etc.) | \$ |

| CHAMPVA / healthcare savings (if applicable) | \$ |

| **Total Annual VA Benefits Value** | \$ |

WORKSHEET D: Debt Elimination Planner (Snowball Method)

List debts smallest to largest balance:

| # | Creditor | Balance | Rate | Minimum | Target Payoff Month |

|---|---|---|---|---|---|

| 1 | | \$ | % | \$ | Month ____ |

| 2 | | \$ | % | \$ | Month ____ |

| 3 | | \$ | % | \$ | Month ____ |

| 4 | | \$ | % | \$ | Month ____ |

| 5 | | \$ | % | \$ | Month ____ |

| 6 | | \$ | % | \$ | Month ____ |

Extra payment available per month: \$_____ (Income minus all other budget items)

Debt #1: \$_____ balance ÷ (\$_____ minimum + \$_____ extra) = approximately _____ months to payoff

When Debt #1 is paid off, roll its minimum payment into Debt #2's attack:

Debt #2 new payment: \$_____ minimum + \$_____ (Debt 1 freed) + \$_____ extra = \$_____ total

Continue rolling. Total consumer debt free by: _____ (month/year)

Total interest saved vs. minimums only: \$_____ (calculate using a debt payoff calculator — undebt.it is free)

MISSION REBUILD™ | Module 03 | Financial Stability and Leverage

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